

DISSENTING OPINION BY JONKHEER VAN EYSINGA.

[Translation.]

The judgment decides that the first objection raised by the Lithuanian Government as a preliminary objection does not possess that character. This decision had not yet been taken by the Court's Order of June 30th, 1938. The result of this way of proceeding would be that if it were necessary to adjudicate on the merits of this dispute between Estonia and Lithuania, the Court could only do so in a third phase of the proceedings. It may be questioned whether this way of proceeding is a very happy one. It is moreover not in accordance with the procedure laid down by Article 62 of the Rules of Court with regard to preliminary objections. Under that Article, which was introduced after mature reflection in 1926 as Article 38, the Court must decide as to the preliminary character of objections as soon as they are raised as such, after which, unless the Court upholds the objections, it has the choice of rejecting them or joining them to the merits. Article 62 of the Rules very rightly does not contemplate a third possibility consisting in leaving open the question whether objections are or are not preliminary in character and joining them nevertheless to the merits.

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The first preliminary objection of the Lithuanian Government to the Estonian Government's claims is to the effect that the latter Government has not observed "the rule of international law according to which a claim must be a national claim not only at the time of its presentation but also at the time when the injury was suffered".

In this connection, the following observations should be made.

It appears from the memorials and oral arguments which were already before the Court in the first stage of the proceedings in regard to this dispute, that is to say in June 1938, that the unlawful act complained of by the Estonian Government is the seizure by the Lithuanian Government in September 1919 of the Panevezys-Saldutiskis railway. And it is not denied that at that date the *Esimene Juurdeveo Raudteede Selts Venemaal* (First Company of Secondary Railways in Russia), whose case the Estonian Government has taken up, could not possess Estonian nationality.

The Lithuanian Government contends that the Company was only founded in 1923 and that consequently it then received

Estonian nationality. On the other hand, the Estonian Government contends that the Estonian Company is none other than the First Russian Company, founded in 1892, the nationality and statutes of which were altered following the world war and after 1919. It is therefore unnecessary to settle the question which of the two Parties is right with regard to this point—a thing which it would only be possible to do by entering upon the merits of the dispute—in order to decide whether or not we are dealing with a preliminary objection. For no matter which of the two lines of argument is correct, the fact remains that at the time when the injury was suffered, the Company did not possess Estonian nationality and that, consequently, the rule of international law which the Lithuanian Government adduces is applicable, *at all events if it exists in the absolute form attributed to it by that Government.*

But it is precisely in regard to this point that there appears to be ground for serious doubt; for the Lithuanian Agent has not succeeded in establishing the existence of the rule in the absolute form attributed to it according to the Lithuanian argument.

To decide the question whether an unwritten rule of international law is really a hard and fast rule, it does not suffice to present general considerations—which in some circumstances may be sufficient; it is also necessary to consider the legal situation in which the rule has to be applied in a particular case. This has not been done in the present case.

It should be added that, if the Estonian contention that the *Esimene* is no other than the First Company were correct, the rule adduced by the first Lithuanian objection would be open to other criticisms besides that relating to the lack of proof of the existence of such a rule. These criticisms will be set out first in the following observations, which will do not more than touch upon the merits of the dispute.

The train of events underlying the present dispute falls within the branch of international law known as State succession. At a certain moment portions of the old Russian Empire, including Lithuania, became independent States; what had previously been a part of Russia, of the Russian people and of the Russian authorities, was now Estonia, the Estonian people and the Estonian authorities. All the powers which the Estonian Government can now exercise are new in the sense that these same powers previously belonged to another State, namely Russia.

There exists no general statute governing the part of international law relating to State succession, and the treaties which deal with the matter, such as the Treaty of Peace of Tartu between Russia and Estonia, signed on February 2nd, 1920, which came into force on March 29th, 1920, define sometimes

one part, sometimes another of the law of State succession; all depends on the degree of importance attributed by the parties to the particular treaty to these sections of international law in the actual conditions which confront them. That being so, it will be seen that the question of the transfer of the registered offices of joint-stock companies and consequently the question of their nationality would have assumed another aspect if Russia had not passed through a tremendous revolution leading to a very far-reaching nationalization of private property, but had remained a State attaching great importance to the inviolability of private property.

A treaty such as the Treaty of Tartu may provide that the local inhabitants and likewise corporations, whether joint-stock companies or otherwise, which are situated in the territory of the new State, shall acquire the latter's nationality. The Treaty of Tartu does not say so *expressis verbis*. On the other hand, other aspects of the law of State succession were dealt with therein in special articles covering such matters as debts due to the Russian Treasury by Estonian subjects, which debts passed into the hands of Estonia under Article XI, paragraph 2.

But whether or not dealt with in the Treaty, the legal life of the new State in all its aspects proceeds in succession to the legal life of the old State. Thus in all matters where the Government of the latter had jurisdiction, its place is now taken by the Government of the new State. This holds good as regards diplomatic protection. If the Estonian contention that the *Esimene* is the same as the First Company were correct, the diplomatic protection of the Company would until a certain date have been a matter for the Russian Government, but after that date it would have fallen to the Estonian Government. It is the same principle as that found in Article XI, paragraph 2, under which at a certain date debts owing to the Russian Treasury passed into the hands of Estonia, and it is difficult to see why a "claim" against a third State arising out of an unlawful act should not also pass from the old to the new State. Regarded from this aspect of the law of State succession—and this is how the present dispute should be envisaged—there is nothing surprising in the fact that Estonia should have had the right to take up a case which previously only Russia could have espoused. Such a "succession" is an absolutely characteristic and even essential feature of the law of State succession. The successor State is continually exercising rights which previously belonged exclusively to the old State, and the same holds good as regards obligations. Accordingly it would be quite normal that in this case the successor State should have protected both diplomatically and before

the Court a company the diplomatic protection of which formerly fell to Russia alone.

As has already been said, the rule that a claim must be a national claim not only at the time of its presentation but also at the time when the injury was suffered, if it were really a hard and fast rule, would apply not only if the Lithuanian contention that the *Esimene* was only founded in 1923 were correct, but also if the Estonian contention were well-founded. It follows from what has been said above that it cannot be applied in the latter alternative. But apart from this the Lithuanian Agent has not succeeded in establishing the existence of the rule in the absolute form imputed to it by the Lithuanian argument.

Those who maintain that this is a hard and fast rule rely mainly on the jurisprudence of the Claims Commissions (Mixed Commissions). So does the Lithuanian Agent.

The Mixed Commissions are set up by treaty when, especially after stormy events such as a revolution or civil war, a great number of the nationals of both parties to the treaty have suffered injury. A desire to liquidate all these claims leads the two parties to refer them by treaty to a commission set up especially to deal with them. Accordingly the commission is a special tribunal for certain groups of the nationals of both sides, and it is obvious that such treaties have in view only the nationals of the two parties who have suffered injury, but not non-nationals, who may be in the same situation and who, in order to take advantage of the existence of the commission, get themselves naturalized, or nationals who may have bought the claims of non-nationals. In the domain of treaties setting up Mixed Commissions, the rule relied on by the Lithuanian Agent is perfectly comprehensible and perhaps in this sphere it is possible to speak of a rule of international law in the sense that, in the absence of a definite treaty provision, it must be observed by the Mixed Commissions.

The Lithuanian Agent, in order to support his contention as to the hard and fast character of the rule adduced by him, has frequently cited the American publicist Borchard. In this connection it should be observed that the quotation on page 19 of the Lithuanian Preliminary Objections gives the impression that Borchard, in his classic work, had laid down the rule that a claim must be a national claim not only at the time of its presentation but also at the time of the injury as a rule of general application. But if one continues to read on page 660 of *Diplomatic Protection of Citizens abroad*, one realizes that Borchard really only has in mind the line of

conduct of the United States Department of State in the sphere of the Claims Commissions. And the heading of paragraph 306 of Borchard explains that this paragraph is merely concerned with the impossibility of "nationalizing" a claim whether by the naturalization of the person advancing it or by the assignment of the claim to a national. Accordingly he is dealing with abuses with which the Mixed Commissions have constantly had to contend, but which are not present in the Panevezys-Saldutiskis railway case.

If therefore Borchard's book is not relevant in the present case, the same applies with regard to the learned note of MM. de Lapradelle and Politis on the Washington Mixed Commission of December 31st, 1862, which note is cited on page 21 of the Lithuanian Preliminary Objections. In this note the part devoted to the question of nationality begins with the following sentence: "Questions of nationality are frequently put to Mixed Commissions." And some lines later: "In Mixed Commissions, protection and nationality coincide. The States which set them up only make them available to their respective nationals." It follows that this note is only concerned with "Claims Commissions" set up by conventions and which the contracting parties place at the exclusive disposal of their nationals. Moreover there is nothing surprising in this, since the note deals only with such a mixed commission and is not concerned with international jurisdiction in general.

The passage quoted on page 21 of the Lithuanian Preliminary Objections: "In the Medina case the theory of nationality is definitely and frankly introduced into arbitration proceedings. And since then it has consistently developed", might give the impression that the passage was intended to cover the whole sphere of arbitration. But the context shows that this is not so. Moreover the note is careful to emphasize the distinction between Mixed Commissions and arbitration properly so-called: on page 179 it says that, in special circumstances, that is to say when all the claims come from one side only—when therefore reciprocity is absent—"the Mixed Commission nearly approaches an arbitration properly so-called".

In the Institute of International Law, Borchard attempted to generalize that which in his book related only to Mixed Commissions, and he then said a thing which should be stressed and which indeed is quoted on page 20 of the Preliminary Objections. "An extensive jurisprudence has established and crystallized the rule to the effect that a claimant must have possessed the nationality of the claimant State when the claim originated" (*Year Book of the Institute of International Law*, 1931, I, p. 282). The jurisprudence referred to by Borchard and quoted

by him is still that of Mixed Commissions. It may be that this jurisprudence has *crystallized* the rule which Borchard has in mind. But it may be observed that "crystallize" implies the idea of rigidity. When the Court has to apply unwritten law, of course it often encounters difficulties. But there are also advantages, in particular the advantage that such rules of law, not being written, are precisely not rigid. It will suffice to read, *inter alia*, the observations of M. Politis (*Year Book*, 1931, II, pp. 206-209) to see that it is a happy thing that the rule adduced by Lithuania, which may be binding in a certain number of cases, is by no means crystallized as a general rule. And in this connection the question also arises whether it is reasonable to describe as an unwritten rule of international law a rule which would entail that, when a change of sovereignty takes place, the new State or the State which has increased its territory would not be able to espouse any claim of any of its new nationals in regard to injury suffered before the change of nationality. It may also be questioned whether indeed it is any part of the Court's task to contribute towards the crystallization of unwritten rules of law which would lead to such inequitable results.

It follows from the foregoing that the Lithuanian Agent has not succeeded in establishing the existence, in the absolute form alleged by him, of the rule of international law to the effect that a claim must be a national claim not only at the time of its presentation but also at the time when the injury was suffered, and that this rule cannot resist the normal operation of the law of State succession.

As the basis on which the first Lithuanian preliminary objection rests is thus shown to be non-existent, that objection should have been rejected, and its rejection would have been possible without prejudging the merits of the case.

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The second Lithuanian objection, which is likewise preliminary in character, is of the same pattern as the first. It also adduces a rule of international law, "the rule requiring the exhaustion of local remedies". The Lithuanian Agent in his speech on June 13th, 1938, said that the rule would always be binding as between the two States unless it had been set aside by a treaty, and, in Lithuania's contention, no such treaty existed.

It is this latter point which is open to doubt. It would seem that Lithuania cannot rely upon this rule as against Estonia for the very reason that the acceptance by the two

States of the Court's compulsory jurisdiction under Article 36 of the Court's Statute, which acceptance is unreserved (Series D., No. 6, p. 42; Series E., No. II, p. 257), implies the setting aside of the rule in question in relations between the two States. We have here an exception to the rule which is accepted in principle by Lithuania, but which in that country's contention does not operate in the present case.

The rule that the means of redress afforded by the national courts must be exhausted before a government can take up the case of one of its nationals against a foreign government is a rule of conduct which has been observed for a very long time. It is a rule the observance of which dates back to the remote past, a past antedating by far the "general and logically coordinated theory of State responsibility", as M. De Visscher has called it, a theory which dates from the beginning of this century and which owes its origin to the remarkable German science of Laband and after him of Triepel.

When a person approaches his government with a view to getting it to take up his case against a foreign government, the former government will begin by ascertaining whether the remedies afforded by the latter's courts have been exhausted. If they have not, it will advise its national to apply to those courts before it can take up the case on his behalf.

Reciprocally, when a government receives a diplomatic complaint regarding a foreigner, if the latter has not yet exhausted the remedies afforded him by the national courts, that government will reply to the other government that the outcome of action before the national courts or other authorities must be awaited. The same will hold good if the diplomatic representations take the form of a proposal for arbitration.

The application of the local remedies rule is not restricted solely to diplomatic relations between governments. Instances of its application are also to be found in other spheres of international administration. Thus when the Central Commission on the Navigation of the Rhine was assigned the task of dealing with complaints regarding the non-observance of international law governing the Rhine, it also determined to apply the rule.

Though therefore the rule is normally followed in international practice, there are also cases where it has not been followed. There are for instance cases where a settlement of the claim by diplomacy has been effected notwithstanding the non-exhaustion of local remedies, and also cases where an arbitrator has been appointed who was to adjudicate in spite of the fact that all the national courts competent to deal with

the claim had not rendered a decision. When an arbitrator is appointed in such circumstances, this constitutes a "prorogation" of jurisdiction.

The local remedies rule encountered an important landmark in its history when *ad hoc* arbitrations, the special agreements for which are not based on compulsory arbitration clauses which at that date did not yet exist, began to be replaced by such clauses or even by general arbitration conventions in which the contracting States agreed beforehand to submit to arbitration certain categories of legal disputes or even all such disputes which might arise. Compulsory or institutional arbitration, as Lammasch calls it, constitutes, in so far as concerns disputes in which one government is taking up the case of one of its nationals, a "prorogation" of jurisdiction provided for in advance. As regards a particular dispute it has the same effect as an agreement *ad hoc* with reference to a dispute in which the local remedies have not been exhausted. In fact, compulsory arbitration, accepted unconditionally, constitutes an exception to the applicability of the local remedies rule.

So true is this that when, at the instigation of the 1899 Peace Conference, governments began to conclude general arbitration conventions, they realized the necessity of making an explicit reservation in such conventions regarding the local remedies rule if they wished to maintain that rule. Without such a reservation, compulsory arbitration accepted beforehand, unconditionally, would constitute a "prorogation" of jurisdiction whenever arbitration was obligatorily resorted to before local remedies had been exhausted. On the other hand, the making of a reservation postpones compulsory arbitration until the local courts have adjudicated.

One of the first examples of this reservation is to be found in the General Arbitration Convention between Denmark and the Netherlands of February 12th, 1904; and in Article 6 of the General Treaty of Arbitration between Italy and the Netherlands of November 20th, 1909, we already find a formula very much like that to be met with more and more frequently in compulsory jurisdiction or arbitration conventions. Article 6 of the General Arbitration Treaty between Italy and the Netherlands is as follows:

"In questions falling under the jurisdiction of the national judicial authorities, according to the territorial laws, the Contracting Parties are entitled not to submit the dispute to arbitration until the competent national courts have delivered a final decision, except in the case of a denial of justice."

A perusal of the collection of texts governing the Court's jurisdiction in Series D., No. 6, and in the addenda to that collection, will suffice to realize that in a very large number of conventions providing for the Court's compulsory jurisdiction, this compulsory jurisdiction does not exist so long as local remedies have not been exhausted. Thus for instance Article 3 of the Locarno Arbitration Conventions of 1925 runs as follows :

"In the case of a dispute the occasion of which, according to the municipal law of one of the Parties, falls within the competence of the national courts of such Party, the matter in dispute shall not be submitted to the procedure laid down in the present Convention until a judgment with final effect has been pronounced, within a reasonable time, by the competent national judicial authority."

The General Act of Conciliation, Judicial Settlement and Arbitration, signed at Geneva on September 26th, 1928, contains an article—No. 31—the wording of which very much resembles that of the Locarno instruments. This article is as follows :

"1. In the case of a dispute the occasion of which, according to the municipal law of one of the Parties, falls within the competence of its judicial or administrative authorities, the Party in question may object to the matter in dispute being submitted for settlement by the different methods laid down in the present General Act until a decision with final effect has been pronounced, within a reasonable time, by the competent authority.

2. In such a case, the Party which desires to resort to the procedures laid down in the present General Act must notify the other Party of its intention within a period of one year from the date of the afore-mentioned decision."

It is not without interest to observe that both the text of Locarno and that of the General Act, as well as the numerous treaties based on the text of these important instruments, speak of disputes between States the subject (occasion) of which falls within the competence of the courts (judicial or administrative authorities) of one of the parties to the treaty. In a case where one of the parties has espoused the claim of a physical or juristic person, the dispute between the two States has therefore precisely the same subject (occasion) as the dispute between the physical or juristic person and one of the two States.

It seems clear that in all cases where the jurisdiction of the Court is conditional upon the exhaustion of local remedies, an objection to the effect that an application presented before such remedies have been exhausted cannot be entertained must be sustained by the Court.

The position however is different when the Court's jurisdiction is accepted unconditionally. In the case, the Court's compulsory

jurisdiction, if all the remedies afforded by the national courts have not been exhausted, constitutes a "prorogation" of jurisdiction; the Court is competent even before exhaustion of local remedies.

This is the position in the present case; for neither Article 36, paragraph 2, of the Court's Statute nor the Lithuanian and Estonian declarations contain a reservation respecting the exhaustion of local remedies.

It follows from the foregoing that the local remedies rule cannot operate in the present case. It is set aside by the unconditional acceptance of the Court's jurisdiction.

The same would hold good if an objection had been lodged based, not on the non-exhaustion of the remedies afforded by the *national* courts but on the non-exhaustion of *international* remedies, that is to say the diplomatic channel. In this connection, the Court in Judgment No. 6, in the case concerning certain German interests in Polish Upper Silesia, says that if a compulsory jurisdiction clause does not stipulate that diplomatic negotiations must first be tried, recourse may be had to the Court as soon as one of the parties considers that a difference of opinion exists (p. 14).

It is true that some States have been led to attach very great importance to the local remedies rule because pressure, which has sometimes been unjustified, has been brought to bear on them in order to induce them to recognize private claims espoused by a government, although the remedies of municipal law have not been exhausted. This circumstance however cannot invalidate the foregoing considerations.

Three further observations may be made.

In the first place it has been said that the local remedies rule is implied in Article 36 of the Court's Statute. When one considers the influence which the new conception of compulsory arbitration has exercised on the old practice in regard to the local remedies rule and that in order to maintain that rule in force side by side with compulsory arbitration, it has been held necessary to make an express reservation regarding it in general arbitration or jurisdictional conventions, it will perhaps be realized that it is difficult to admit the existence of an implied reference in view of so many explicit reservations.

It has also been said that if the view put forward above were correct, the result would be that governments would hesitate much before renewing or signing declarations accepting the optional clause. It would seem that such hesitation is unnecessary, for practice shows that these declarations often comprise a fairly wide range of reservations. Thus, several Dominions when signing their declarations have, in certain

conditions, made a reservation respecting prior recourse to the Council of the League of Nations. Accordingly, there is nothing to prevent States from making a condition respecting the exhaustion of local remedies.

In the third place, it has been said that since the Court, under Article 38 of the Statute of the Court, must apply the general principles of law recognized by civilized nations, it must apply the local remedies rule. This obligation is not denied. But one must also not lose sight of the fact that this is a rule to which there are many exceptions. It is by no means a rule of public police which States must treat as sacrosanct. They do not do so when they arrange an *ad hoc* arbitration without previous exhaustion of local remedies; they neither do when they accept the Court's jurisdiction in advance without making the usual reservation concerning the rule. The Court itself in Judgment No. 14, page 19 (the Serbian Loans case), recalled that there were cases in which the rule did not apply.

Even disregarding for the moment what has been said above, it is to be observed that the highest court in Lithuania, the Lithuanian Supreme Court, in its judgment of March 16th/26th, 1934, pronounced so definitely in regard to a cardinal point which, if accepted by the Court, would entail complete success for Lithuania in this case, that it would be useless for the Company to apply to the Lithuanian courts before the Estonian Government took up its case before the Court. I refer to the question whether the legal personality of the First Company persists in the *Esimene* Company, or whether on the contrary the *Esimene* is a new company. The Supreme Court of Lithuania definitely said that the *Esimene* was a new company. The following are the relevant passages:

"The defendant cited in this case as liable for the bond is not the First Company of Secondary Railways in Russia, with its Board of Directors in Petrograd, but the First Company of Secondary Railways in Russia, with its Board of Directors at Tallinn in Estonia and whose managing director, Paul Klompus, at present resides at Kaunas, at the Lithuania Hotel, No. 9, Daukant Street. Consequently, in order to bring this case within the jurisdiction of the Lithuanian courts, a domicile has been artificially created in breach of Article 220 of the Code of Civil Procedure, which indicates where a company is to be sued.

More especially since, as may be seen from the evidence produced by the defendant, no company exists in Estonia in whose name the bond was issued and whose statutes were in force in 1892, but there is a company newly founded under the name

of the *Esimene Juurdeveo Raudteede Selts Venemaal* (which, translated, may mean: 'First Company of Secondary Railways in Russia')."

It is difficult to imagine a clearer example of a definite pronouncement by a highest national court on a question which decides the issue in favour of one of the two Parties before the Court. In such a case an objection based on the local remedies rule is inapplicable, even apart from what had been said concerning the impossibility of presenting this objection in view of the unconditional acceptance by the two Parties of the Court's compulsory jurisdiction under Article 36 of the Court's Statute.

(Signed) v. EYSINGA.